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Morning Note
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Tone: Volatile / Risk-Off

Thursday's AI rout went global overnight, and payrolls at 8:30 AM ET now land on a market that has already cut its Fed hike bets. The S&P 500 fell 4.36% to 7,353.73 and the Nasdaq 100 6.36% to 26,629.81, the worst day for the major indexes since April 2025, as the Democratic sweep was repriced as a threat to the data center buildout: UBS sees about 30% of 2028 data center additions at risk, and Texas Governor elect Gina Hinojosa has called for a pause on new construction. The Philadelphia semiconductor index lost about 12.2%, with Micron -17.46% and AMD -17.26%, and XLK fell 8.00%. Asia took the second leg: the Nikkei closed -5.96% at 57,434.77 and into a bear market, and the Kospi tripped a 20 minute halt after falling as much as 8.8%. Bonds read it as a growth shock: the 2Y fell more than 11bp Thursday to near 4.46%, its lowest in nearly two months, and CME FedWatch December hike odds dropped to about 70% from about 83% Wednesday. U.S. futures are stabilizing unevenly, with Nasdaq 100 futures +1.48% and Dow futures -0.66% at 4:14 AM ET as chips bounce pre-market. Oil is the complication: Brent closed +4.89% at $99.25 on fresh tanker attacks near Hormuz and is near $100 this morning. Payrolls, seen at 55,000 to 65,000 against 29,000 prior, decide whether Thursday's repricing of the Fed sticks.

OVERNIGHT MACRO

- **Asia:** Nikkei -5.96% to 57,434.77, into a bear market and down about 9.25% on the week; Advantest about -12%, SoftBank and Kioxia about -11% and Tokyo Electron almost -9% intraday. Kospi fell as much as 8.8% to 4,911.28, triggering a 20 minute circuit breaker, and closed more than 5% lower. Taiex closed about 4% lower after a 5% intraday drop, with TSMC about -4% at the close after touching limit down. China held up: CSI 300 -1.44%, Hang Seng about -1.2%. ASX 200 -0.49%.
- **Europe:** Stoxx 600 -1.6% to 644.72 by 3:10 AM ET, wiping out its weekly gain; most major benchmarks down more than 1%. Media, healthcare and retail each down more than 2%. Teleperformance -18% after cutting its full year revenue growth outlook; ASMI -1.3%, Siltronic -2%.
- **FX:** Dollar index closed at 101.59, +0.07%. USD/JPY back above 158.00 early Friday after dipping below 157.50, from a 157.65 close. EUR/USD below 1.1190 from 1.1221. Bitcoin closed -5.64% at $75,873. JGBs rallied: 10Y JGB 2.66%, down more than 12bp.
- **Commodities:** Brent near $100 and WTI above $91 this morning after Thursday closes of $99.25 (+4.89%) and $91.20 (+3.50%), on reports of at least five vessel incidents in the Gulf since Sunday. Both are still on track for about a 12% weekly drop. Gold near $4,082 early Friday, about 0.4% below Thursday's $4,097.90 close. Copper closed -2.97% at $6.21/lb.
- **U.S. Futures:** Nasdaq 100 futures +1.48%, S&P futures +0.39%, Dow futures -0.66% as of 4:14 AM ET. Nvidia +3.6% pre-market, AMD, Intel, Broadcom and Micron up 5% to 8.3%; Airbnb +12.1%, Atlassian -15.6%. Thursday close: S&P 500 -4.36% to 7,353.73, Dow -3.44% to 51,523.06, Russell 2000 -4.45% to 2,729.89, VIX +11.57 to 28.18.

RATES & CREDIT SNAPSHOT

Instrument	Level	Move	Note
2Y Treasury	4.58%	-3bp	Wednesday close (FRED). Fell more than 11bp Thursday to near 4.46%.
10Y Treasury	4.90%	-5bp	Wednesday close (FRED). About 5bp lower Thursday near 4.83%; 4.84% early Friday.
30Y Treasury	5.28%	-4bp	Wednesday close (FRED). Down 38bp over the past month.
2s10s	38bp	+6bp	Thursday print. Bull steepener led by the front end.
10Y Breakeven	2.24%	-2bp	Thursday print, lower even with Brent +4.89%.

Thursday was a front end rally: the 2Y fell more than 11bp to near 4.46% while the 10Y fell about 5bp to near 4.83%, steepening 2s10s 6bp to 38bp. That is the market taking a December hike off the table at the margin, with FedWatch odds down

to about 70% from about 83% a day earlier, rather than buying duration for safety. Breakevens fell 2bp to 2.24% on a day Brent rose 4.89%, which says the bond market is weighting the wealth shock over the oil shock. The 10Y is edging higher early Friday near 4.84%. Cleveland's Hammack, who dissented for a hike in October, said overnight policy must stay restrictive and that more frequent moves could lower the risk of falling behind. Rate vol is calmer than equity vol: MOVE rose 4.04 to 97.92 while VIX jumped 11.57 to 28.18.

Meeting	Current Range	Market-Implied	Note
FOMC, Dec 8 to 9	3.75 to 4.00%	About 70% hike	CME FedWatch, down from about 83% Wednesday. Musalem 9:10 AM ET, Bowman 12:15 PM ET today.

Credit: IG OAS at 91bp, -2bp, and HY OAS at 332bp, -8bp (Wednesday close, FRED), still 7bp and 20bp wider than a month ago. These prints predate Thursday's drawdown; with AI infrastructure names such as CoreWeave down 9.8% and IREN, Applied Digital and Nebius each down more than 14%, the data center funding pipeline is the part of credit to watch when Thursday's spreads post.

COMMODITIES & SECTOR TABLES

Commodity	Level	Chg	Note
Brent Crude	$99.25/bbl	+4.89%	Thursday close; near $100 this morning on tanker attacks
WTI Crude	$91.20/bbl	+3.50%	Thursday close; above $91 this morning
Gold	$4,097.90/oz	+0.61%	Thursday close; near $4,082 early Friday
Copper	$6.21/lb	-2.97%	Down 5.59% on the week
Nat Gas	$2.95/MMBtu	-0.24%	Flat on the week

Every sector fell Thursday, and the damage was ordered by AI exposure. Technology lost 8.00% and is down 13.97% on the week, Industrials fell 4.12% with GE Vernova -7.5% on the power buildout, and Discretionary fell 3.83% with Tesla -10.77% and SpaceX -9.05%. The defensives barely moved: Communication -0.59%, Utilities -0.71%, Staples -0.75%. Energy fell 2.98% despite Brent's 4.89% gain. Overnight, the chip complex is bouncing pre-market while earnings split: Airbnb is higher on a raised outlook, Atlassian and DraftKings sharply lower.

Sector / Name	Chg	Read
Technology (XLK)	-8.00%	Worst sector; -13.97% on the week
Chips (Micron, AMD, Marvell, Broadcom, Nvidia)	-9.26% to -17.46%	SOX about -12.2%, worst since 2020
Industrials (XLI)	-4.12%	GE Vernova -7.5%
Cons. Discretionary (XLY)	-3.83%	Tesla -10.77%
Communication (XLC)	-0.59%	Best sector Thursday
Nvidia (pre-market)	+3.6%	Chips bouncing; AMD, Micron, Broadcom, Intel +5% to 8.3%
Airbnb (pre-market)	+12.1%	Q3 EPS $3.16 vs $2.85; revenue $4.87bn vs $4.74bn
Atlassian (pre-market)	-15.6%	Lower after Q1 results
DraftKings (after hours)	-24.66%	Cut 2026 adjusted EBITDA outlook
AppLovin	+31.04%	Thursday; earnings beat

EQUITY SETUP

The pre-market tone is a relief bounce in the names that broke, not a broad recovery: Nasdaq 100 futures +1.48% and Nvidia +3.6% against Dow futures -0.66%. Thursday's selloff was a policy repricing, not an earnings event, with Democratic gains in Texas and Georgia, a Hinojosa call to pause data center construction and UBS putting about 30% of 2028 additions at risk. That kind of overhang does not clear in one session, and Asia's 5% to 6% closes in Japan and Korea show the global AI hardware chain is still being marked down. Reports that investors are questioning Anthropic's roughly $1.5 trillion IPO valuation, and that the listing could be delayed, add a private market read to the same story.

The macro offset is lower front end yields, and payrolls decide whether it holds. A print near the 55,000 to 65,000 consensus with unemployment at 4.2% and hourly earnings at 0.3% keeps December hike odds drifting down from about 70% and supports the bounce. A hot print, after claims of 189,000 Thursday, puts the hike back near 80% and removes the one cushion under a market with VIX at 28.18. Musalem at 9:10 AM ET and Bowman at 12:15 PM ET get the first word on how the Fed reads Thursday's wealth shock.

ONE THEME

The AI rout is doing some of the Fed's tightening. In one session, the S&P 500 gave back 4.36% and the market cut December hike odds from about 83% to about 70%, pulling the 2Y down more than 11bp to near 4.46%. That is the transmission the Fed's hawks have been asking for: tighter financial conditions without a rate move, via a hit to the stock market wealth that has supported spending. The complication is that the energy input to inflation is going the other way, with Brent back near $100 on tanker attacks and Hammack still arguing for restrictive policy. Breakevens falling 2bp to 2.24% on a 4.89% oil day says bonds believe the growth channel dominates. If payrolls come in soft and the equity drawdown persists, the Fed can stand pat on Dec 9 and let markets tighten for it; if payrolls run hot, the Fed hikes into a falling market and the front end gives back Thursday's rally.

EVENTS TO WATCH

- **8:30 AM ET October Employment Report:** Payrolls consensus 55,000 to 65,000 (Dow Jones poll 59,000) vs 29,000 prior; unemployment 4.2%; average hourly earnings +0.3% m/m and 2.9% y/y.
- **8:30 AM ET Canada October Jobs:** Consensus 15,000 vs -68,000 prior.
- **9:10 AM ET Fed's Musalem:** First Fed voice after Thursday's selloff and payrolls.
- **10:00 AM ET UMich Sentiment (Nov prelim):** Seen near 47 to 48 vs 48.0 prior; year ahead inflation expectations were 4.7% last month.
- **11:00 AM ET BoJ Governor Ueda:** After a 5.96% Nikkei drop and a 12bp rally in 10Y JGBs.
- **12:15 PM ET Fed Vice Chair for Supervision Bowman:** At the University of Mississippi.
- **3:00 PM ET Consumer Credit (Sep):** Federal Reserve G.19 release.
- **Before the open:** Enbridge, Moderna, Brookfield Asset Management, Humana, Vistra, Ubiquiti, Franklin Resources, Charter.
- **Next week:** October CPI Nov 10. FOMC minutes Nov 18, decision Dec 9.
- **Key risks:** A hot payrolls print restoring hike odds near 80% into a market with VIX at 28. Further AI regulation or data center headlines from the incoming Congress and statehouses. Escalation in the Gulf pushing Brent back above $100 and reviving the inflation side of the Fed's problem.